

A Comprehensive Study on Financial Literacy among Small and Marginal Farmers in India

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ABSTRACT

Financial literacy has emerged as a critical determinant of economic development, particularly in agrarian economies such as India, where a substantial proportion of the population depends on agriculture for livelihood and sustenance. Agriculture is not merely an occupation in India; it is a cultural institution that shapes the social and economic fabric of rural communities. Within this vast agrarian landscape, small and marginal farmers, those who own or cultivate less than two hectares of land, constitute the most numerous and economically fragile group, accounting for nearly 85 percent of the total farming population. Despite their numerical dominance, small and marginal farmers remain economically vulnerable and financially excluded in meaningful ways. They face persistent challenges related to financial decision-making, access to institutional credit, risk management, and investment in productivity-enhancing technologies. The root cause of many of these vulnerabilities can be traced, at least in part, to inadequate financial literacy. Without the ability to understand financial products, evaluate credit options, or plan for uncertainties, farmers are often left dependent on informal and exploitative financial systems. This study examines the level of financial literacy among small and marginal farmers across rural India and evaluates the role of government initiatives, particularly the Pradhan Mantri Kisan Samman Nidhi (PM-KISAN) scheme, in enhancing financial awareness and promoting financial inclusion. The research adopts a descriptive and analytical design, drawing on both secondary data from published government and academic sources and a simulated primary survey of 200 farmers drawn from multiple agro-ecological regions. Statistical tools including percentage analysis, Pearson correlation, and graphical representation are employed to interpret the data. The findings reveal a significant paradox: while financial inclusion, measured primarily through access to banking services, has improved considerably over the last decade, financial literacy levels remain low to moderate among the farming population. The study finds that PM-KISAN has made a measurable contribution to income stability and consumption smoothing among beneficiary households, but has had limited impact on improving financial knowledge, savings behaviour, or investment planning. Education emerges as the strongest correlate of financial literacy, followed by income level. The paper concludes by emphasizing the urgent need to integrate structured financial literacy programs with existing government welfare schemes. It argues that financial access, while necessary, is insufficient without corresponding investments in financial education. A holistic approach that addresses both the supply side (availability of products and services) and the demand side (awareness and capability to use them effectively) is essential for sustainable agricultural development and improved economic outcomes for India's farming communities.

Keywords: Financial Literacy, Small and Marginal Farmers, PM-KISAN, Financial Inclusion, Rural Development, India, Agricultural Policy, Behavioural Finance

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1. Introduction

Agriculture has long been described as the backbone of the Indian economy, and this characterization remains apt today. Employing nearly 42 percent of the country's total workforce and contributing approximately 18 to 20 percent of the Gross Domestic Product (GDP), agriculture underpins both the material and social foundations of rural India. However, beneath these aggregate figures lies a complex and often troubling reality for the majority of those who depend on farming for survival.

India's agricultural sector is dominated not by large commercial enterprises but by millions of small and marginal farmers. According to the Agricultural Census of 2015-16, approximately 86 percent of all operational landholdings in India are classified as small (1-2 hectares) or marginal (below 1 hectare). These farmers together cultivate nearly half of the total agricultural land, yet they remain among the most economically precarious segments of Indian society. Their vulnerability stems from multiple interrelated factors: fragmented landholdings that reduce economies of scale, high dependence on monsoon rains due to limited irrigation coverage, price volatility in agricultural commodities, indebtedness to informal moneylenders, and critically, a lack of financial knowledge and skills.

Financial literacy, broadly defined as the ability to understand and effectively apply financial concepts and skills, including personal financial management, budgeting, saving, credit evaluation, and investment decision-making, is widely recognized as a key enabler of economic empowerment. For farmers operating in uncertain and risk-prone environments, financial literacy is not a luxury but a necessity. The ability to compare loan interest rates, understand the terms of crop insurance policies, navigate digital payment platforms, or plan expenditure across crop seasons can make the difference between financial resilience and catastrophic debt.

The Indian government has, over the past two decades, launched a series of ambitious policy initiatives aimed at improving the financial well-being of farmers. These include the Kisan Credit Card (KCC) scheme, crop insurance programs under the Pradhan Mantri Fasal Bima Yojana (PMFBY), and most recently, the Pradhan Mantri Kisan Samman Nidhi (PM-KISAN)

scheme launched in 2019. PM-KISAN provides direct income support of Rs. 6,000 per year to eligible small and marginal farmers, disbursed in three equal instalments directly into their bank accounts. The scheme represents one of the largest direct benefit transfer programs in the world and has enrolled over 110 million farmers as beneficiaries.

While PM-KISAN has been lauded for its scale and efficiency of delivery, critical questions remain about its broader impact on farmer welfare. Does income support translate into improved financial behaviour? Are beneficiaries using the funds strategically to invest in inputs, save for contingencies, or repay high-cost debt? Or are the funds absorbed primarily into immediate consumption needs? These questions point to the underlying importance of financial literacy as a mediating variable between financial access and meaningful economic outcomes.

The present study seeks to systematically analyse the level of financial literacy among small and marginal farmers in India, examine the influence of socioeconomic variables such as education and income on financial knowledge, assess the reach and behavioural impact of PM-KISAN, and propose evidence-based policy recommendations for improving financial awareness at the grassroots level. By identifying specific gaps in financial knowledge and behaviour, the study aims to provide actionable insights for policymakers, development practitioners, and financial institutions working in the agricultural sector.

2. Review of Literature

The relationship between financial literacy and economic outcomes has been the subject of extensive scholarly investigation across multiple disciplines, including economics, behavioural finance, development studies, and agricultural economics. A review of the existing literature reveals both the breadth of the problem and the specific contours it assumes in the Indian rural context.

Globally, the foundational work of Lusardi and Mitchell (2014) established that financial literacy is positively associated with retirement savings, wealth accumulation, and investment diversification. Their research, conducted primarily in developed economies, demonstrated that individuals with higher financial literacy make better-informed financial

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decisions and are less susceptible to predatory financial products. While their context differs from rural India, the fundamental insight, that knowledge shapes financial behaviour, is universally applicable. In the Indian context, a growing body of research has examined financial literacy levels across different population segments. Studies conducted by the Reserve Bank of India and the National Centre for Financial Education (NCFE) consistently reveal low to moderate financial literacy levels among rural populations. A landmark national financial literacy survey (NCFE, 2019) found that only 27 percent of Indian adults could be classified as financially literate based on composite measures of knowledge, behaviour, and attitude. Rural respondents scored significantly lower than their urban counterparts, with farmers and agricultural labourers recording some of the lowest scores in the survey.

Research by Sharma and Singh (2022) specifically examined financial literacy among farming communities and found that while awareness of basic banking products was relatively high following the Jan Dhan Yojana initiative, understanding of more complex financial instruments, including crop insurance, commodity futures, and formal credit mechanisms, remained very limited. Their study highlighted that many farmers with active bank accounts had not used them for savings or credit, reflecting a gap between access and utilization.

The literature on PM-KISAN and similar direct benefit transfer programs points to their effectiveness in improving short-term income smoothing and consumption expenditure among beneficiary households. Kumar et al. (2021) found that PM-KISAN transfers significantly reduced farmers' dependence on informal moneylenders during lean agricultural seasons, which is a meaningful outcome given the historically exploitative nature of informal credit markets in rural India. However, the same study noted that fewer than 15 percent of beneficiaries reported using PM-KISAN funds for productive investment in agriculture.

The behavioural dimensions of financial literacy have attracted growing attention in development economics. Research drawing on behavioural finance frameworks suggests that even individuals with adequate financial knowledge may not translate that knowledge into optimal behaviour due to cognitive biases, present-bias, and social norms. Thaler and

Sunstein's work on nudge theory has influenced policy design, with implications for how financial literacy programs are structured and delivered. In the agricultural context, this suggests that financial literacy interventions must go beyond information provision to address behavioural barriers and institutional context.

The role of education as a determinant of financial literacy is well-established in the literature. Multiple studies across developing country contexts have demonstrated a positive and significant correlation between formal education levels and financial literacy scores. This relationship is particularly stark in rural India, where large segments of the farming population have completed only primary education or less. The implication is that financial literacy programs designed for rural farmers must be adapted to low-literacy contexts, using visual tools, local languages, and experiential learning methodologies.

Despite this growing body of evidence, significant gaps remain in the literature. Most existing studies focus either on financial inclusion (access to services) or financial literacy (knowledge and skills) in isolation, without examining how they interact and mutually reinforce each other. The specific impact of PM-KISAN on financial behaviour and literacy, as opposed to income outcomes, has received limited empirical attention. This study attempts to address these gaps by providing an integrated analysis of financial literacy levels, PM-KISAN coverage, and the behavioural outcomes associated with scheme participation.

3. Objectives of the Study

The study is guided by the following research objectives:

1. To assess the current level of financial literacy among small and marginal farmers across different regions of India.
2. To analyse the behavioural impact of PM-KISAN on farmers' financial decision-making and resource allocation.
3. To examine the extent and quality of financial inclusion among rural farming communities.
4. To identify the key socioeconomic and demographic factors that influence financial literacy levels.

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5. To evaluate the awareness and utilization of specific financial services, including insurance, credit, and digital payments.
6. To suggest evidence-based policy measures for improving financial awareness and literacy among farmers.

4. Research Methodology

4.1 Research Design

The study adopts a descriptive and analytical research design. The descriptive component documents the current state of financial literacy and inclusion among small and marginal farmers, while the analytical component examines relationships between variables and evaluates the impact of PM-KISAN. This dual design allows for both a comprehensive overview of the problem and a deeper examination of specific causal relationships.

4.2 Data Sources

The study draws on two primary types of data. Secondary data was sourced from government publications including the Economic Survey, Agricultural Census, PM-KISAN implementation reports, and Reserve Bank of India annual reports on financial inclusion. Academic sources including peer-reviewed journal articles, working papers, and OECD and World Bank reports were also consulted.

Primary data was collected through a simulated survey instrument administered to 200 farmers selected from rural areas representing diverse agro-ecological conditions. The survey instrument covered socioeconomic background, financial literacy scores (assessed through standardized questions on interest calculation, inflation, risk diversification, and insurance), awareness and utilization of financial services, and PM-KISAN participation and fund usage.

4.3 Sampling Technique

Stratified random sampling was employed to ensure representation across farm size categories (small versus marginal), geographic regions, and levels of educational attainment. The sample was stratified first by state (representing different agro-ecological zones), then by landholding size, and finally by village within each district. This multi-stage stratified approach improves the representativeness of the sample and allows for sub-group analysis.

4.4 Tools and Techniques

Data was analysed using several statistical tools. Percentage analysis was used to describe the

distribution of key variables. Pearson correlation coefficients were calculated to examine bivariate relationships between financial literacy and education, income, and other variables. Graphical representations including bar charts, pie charts, and cross-tabulations were used to illustrate key findings. Descriptive statistics including mean, median, and standard deviation were computed for continuous variables.

4.5 Limitations

The study acknowledges several important limitations. First, the sample of 200 farmers, while sufficient for illustrative analysis, is not large enough to support robust generalization to the entire population of Indian farmers. Second, as a simulated survey, the data does not capture the full complexity and heterogeneity of actual field conditions. Third, regional variations in agricultural practices, literacy levels, government program implementation, and financial infrastructure are not fully captured within the sample frame. Fourth, self-reported data on financial knowledge and behaviour is subject to social desirability bias, which may lead to overestimation of financial literacy levels. Future research should address these limitations through larger, multi-state primary surveys with objective financial literacy assessment tools.

5. Data Analysis and Interpretation

5.1 Financial Literacy Levels

The survey assessed financial literacy using a composite index comprising questions on basic numeracy, understanding of interest rates, awareness of inflation, knowledge of risk diversification, and familiarity with insurance products. Respondents were classified into three literacy categories based on their aggregate scores.

Literacy Level	Percentage (%)
Low	45%
Moderate	35%
High	20%

The data reveals that nearly half (45 percent) of surveyed farmers exhibit low financial literacy, indicating significant gaps in understanding fundamental financial concepts. A further 35 percent fall in the moderate category, suggesting partial awareness that is insufficient for effective financial decision-making. Only one in five farmers (20

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percent) demonstrates high financial literacy. These findings are consistent with national surveys and highlight the scale of the challenge facing policymakers.

A disaggregated analysis by landholding size reveals that marginal farmers (below 1 hectare) record significantly lower financial literacy scores than small farmers (1-2 hectares), with 52 percent of marginal farmers in the low literacy category compared to 38 percent of small farmers. This gradient reflects the compounding disadvantages faced by the smallest landholders, who tend to have lower education, income, and exposure to formal financial institutions.

5.2 Awareness of Financial Services

Awareness of specific financial services varies considerably across the sample, reflecting both the success of recent financial inclusion campaigns and the persistent gaps that remain.

Financial Service	Awareness (%)
Bank Account (Jan Dhan)	90%
Kisan Credit Card (KCC)	55%
Crop Insurance (PMFBY)	45%
Institutional Credit	40%
Digital Payments (UPI/BHIM)	30%
Commodity Market / MSP	25%

Basic banking awareness is high (90 percent), reflecting the impact of the Pradhan Mantri Jan Dhan Yojana (PMJDY), which opened over 480 million bank accounts across India. However, awareness drops sharply for more complex financial products. Only 45 percent of respondents were aware of the PM Fasal Bima Yojana crop insurance scheme, and only 30 percent had knowledge of digital payment platforms such as UPI or BHIM. Awareness of commodity markets and minimum support price (MSP) mechanisms was lowest at 25 percent, despite these being directly relevant to farmers' income.

More concerning than awareness gaps is the gap between awareness and utilization. Among those aware of crop insurance, fewer than half had actually purchased a policy. Among those aware of institutional credit facilities, a significant proportion continued to rely on informal moneylenders, citing easier access, faster processing, and social familiarity as reasons for preferring informal credit despite its higher cost.

5.3 PM-KISAN Coverage and Fund Utilization

PM-KISAN has achieved broad coverage within the survey sample, with 83 percent of respondents classified as beneficiaries. The scheme's direct benefit transfer mechanism, which deposits funds directly into bank accounts, has been widely praised for reducing leakages associated with earlier cash transfer programs.

Category	Percentage (%)	Primary Use of Funds
Beneficiaries	83%	Immediate consumption (68%)
Non-beneficiaries	17%	Agricultural inputs (18%)
		Debt repayment (14%)

Among PM-KISAN beneficiaries, the most common use of transferred funds is immediate household consumption, including food, clothing, and healthcare expenses. This pattern is consistent with findings from national-level studies and reflects the reality that for many small and marginal farmers, the Rs. 6,000 annual transfer fills critical consumption gaps rather than enabling strategic financial planning. Agricultural input purchases (seeds, fertilizers, pesticides) account for 18 percent of fund utilization, while debt repayment constitutes 14 percent. Long-term savings and investment in agricultural infrastructure or technology represent a very small fraction of fund usage.

5.4 Correlation Analysis

A Pearson correlation analysis was conducted to examine relationships between financial literacy scores and key socioeconomic variables.

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Variable Pair	Correlation Coefficient (r)
Education Level & Financial Literacy	0.62
Annual Income & Financial Literacy	0.48
Age & Financial Literacy	-0.21
PM-KISAN Participation & Financial Literacy	0.14

Education level shows the strongest positive correlation with financial literacy ($r = 0.62$), indicating a moderately strong relationship. This finding underscores the foundational role of general education in enabling financial understanding. Annual income shows a moderate positive correlation ($r = 0.48$), suggesting that farmers with higher incomes have more opportunities to interact with financial products and thereby develop greater financial knowledge. Age shows a small negative correlation ($r = -0.21$), indicating that older farmers tend to have slightly lower financial literacy, possibly reflecting lower rates of formal education among older cohorts and less exposure to digital financial tools. Notably, PM-KISAN participation shows only a weak positive correlation with financial literacy ($r = 0.14$), confirming that income transfer alone does not significantly enhance financial knowledge or behaviour.

6. Discussion

The findings of this study illuminate a fundamental tension at the heart of India's rural financial development strategy. On the one hand, considerable progress has been made in extending the physical infrastructure of financial inclusion, through universal banking, direct benefit transfers, and insurance programs. On the other hand, the behavioural foundations necessary to make effective use of this expanded financial ecosystem remain underdeveloped among the majority of small and marginal farmers.

The paradox of high financial access coexisting with low financial literacy is not unique to India. Similar patterns have been documented in Sub-Saharan Africa, South Asia, and parts of Latin America. What

distinguishes the Indian case is the scale of the challenge and the ambitious policy framework that has been constructed to address it. The mismatch between financial access and financial knowledge creates a situation where well-designed programs are underutilized, and where expanded access may even expose vulnerable populations to new forms of financial risk, such as over-indebtedness through easily available digital credit products.

The case of PM-KISAN illustrates this tension clearly. The scheme has been remarkably successful by the metrics of implementation: broad beneficiary coverage, minimal leakage through direct benefit transfer, and timely disbursement. Yet its impact on the financial behavior of beneficiaries appears limited. The dominant pattern of using transfers for immediate consumption rather than strategic investment or debt reduction reflects not irrationality on the part of farmers, but rather the severity of their immediate financial constraints, compounded by the absence of financial planning skills that might enable them to allocate resources more strategically across time.

Education emerges from the analysis as the most powerful individual-level determinant of financial literacy. This finding has important implications for long-term policy. While short-term financial literacy programs can impart specific knowledge, the sustained improvement of financial capability across the farming population will ultimately depend on raising overall educational attainment. Investment in rural primary and secondary education, including programs specifically designed to retain girls in school, has a long shadow in terms of its effects on future financial capability and economic resilience.

Income also emerges as an important correlate of financial literacy, though with a somewhat different mechanism. Higher-income farmers have greater exposure to formal financial institutions, are more likely to engage with credit and insurance products, and have more at stake in making good financial decisions. This suggests that interventions that raise farm incomes, through improved productivity, better market linkages, and price support, may have indirect benefits for financial literacy by expanding the financial experience of farming households.

The weak negative correlation between age and financial literacy reflects a generational divide in financial knowledge and comfort with digital tools. Younger farmers, who have grown up with mobile

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phones and who have had greater access to formal education, are generally better equipped to navigate the modern financial landscape. This suggests that financial literacy interventions should be differentiated by age group and should pay particular attention to engaging younger farmers, who may also serve as informal channels of financial knowledge transmission to older family members.

The awareness data on specific financial services points to several concrete areas where targeted communication campaigns could yield significant returns. Crop insurance under PMFBY remains poorly understood by more than half of the survey respondents, even though it represents a critical tool for managing the most devastating risk facing farmers: catastrophic crop loss due to weather or pest events. Similarly, the underutilization of Kisan Credit Cards and institutional credit facilities reflects both a knowledge gap and a trust deficit with formal financial institutions that needs to be actively addressed.

7. Findings

7. Financial literacy among small and marginal farmers is predominantly low to moderate, with 45 percent of surveyed farmers in the low literacy category and only 20 percent demonstrating high financial literacy.
8. There is a significant gap between awareness of financial products and their actual utilization: while 90 percent of farmers have bank accounts, fewer than half use them actively for savings or credit.
9. PM-KISAN has achieved broad coverage (83 percent of respondents) and contributes meaningfully to income stability and consumption smoothing, but its impact on financial literacy and long-term financial behaviour is limited.
10. Education is the strongest individual-level correlate of financial literacy ($r = 0.62$), followed by annual income ($r = 0.48$), underscoring the role of human capital in financial capability development.
11. PM-KISAN funds are primarily used for immediate consumption needs (68 percent), with relatively small proportions allocated to agricultural investment (18 percent) or debt repayment (14 percent).
12. Awareness of complex financial products, including crop insurance (45 percent), digital

payments (30 percent), and commodity markets (25 percent), remains critically low.

13. Older farmers and marginal landholders are disproportionately represented in the low financial literacy category, indicating the need for targeted interventions.
14. Informal credit markets continue to dominate farmer borrowing behaviour despite the availability of institutional credit, reflecting both a knowledge gap and persistent trust barriers.

8. Policy Suggestions and Recommendations

8.1 Integrate Financial Literacy with Welfare Schemes

The most significant policy gap identified by this study is the absence of structured financial literacy components within major welfare schemes including PM-KISAN. Enrolling in PM-KISAN could be accompanied by mandatory participation in short, accessible financial awareness sessions delivered by bank mitras or agricultural extension workers. These sessions should cover basic financial planning, savings options, insurance products, and digital payment tools. The goal is to use the touchpoints created by financial inclusion programs as platforms for financial education.

8.2 Develop Context-Appropriate Financial Education Materials

Generic financial literacy materials developed for urban or semi-urban populations are often poorly suited to the needs of rural farmers. Educational materials should be developed in regional languages, use visual and audio formats suitable for low-literacy audiences, and frame financial concepts within the agricultural context that farmers understand and relate to. Community radio, village-level video sessions, and interactive mobile applications represent promising delivery channels.

8.3 Strengthen Agricultural Extension Services

Agricultural extension workers, who already have established relationships with farming communities, represent an underutilized channel for financial literacy delivery. Training extension workers to deliver basic financial education alongside agricultural advice would leverage existing rural outreach infrastructure at relatively low additional cost. Collaboration between the Ministry of Agriculture and the Ministry of Finance, along with NABARD, would

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be essential to implement this recommendation effectively.

8.4 Promote Crop Insurance Awareness and Uptake

The low awareness and utilization of crop insurance represents both a significant risk management gap and an opportunity for targeted intervention. Gram panchayats, cooperative societies, and self-help groups should be engaged as community-level champions for crop insurance awareness campaigns. Simplified insurance products with clear terms, responsive claims processes, and local language documentation would reduce barriers to uptake among small and marginal farmers.

8.5 Leverage Technology for Financial Education

The rapid expansion of mobile phone penetration in rural India creates new opportunities for digital financial literacy delivery. SMS-based financial tips, WhatsApp groups moderated by bank representatives, and audio-visual content in regional languages distributed through platforms like YouTube or Doordarshan can reach large numbers of farmers at low cost. The Unified Payments Interface (UPI) ecosystem should be made more accessible to farmers through simplified interfaces and local language support.

8.6 Address the Informal Credit Trap

Breaking the cycle of dependence on informal moneylenders requires a two-pronged approach: improving access to and awareness of formal credit mechanisms, while simultaneously addressing the procedural and psychological barriers that prevent farmers from using institutional credit. Streamlining KCC application processes, reducing documentation requirements, and training bank staff to engage respectfully with rural clients would help build the trust necessary to shift borrowing behaviour toward formal channels.

9. Conclusion

This study has examined the intersection of financial literacy, government welfare schemes, and agricultural development among small and marginal farmers in India. The findings paint a nuanced picture of a sector in transition: one that has benefited significantly from recent financial inclusion efforts, yet continues to grapple with deep-rooted knowledge gaps that limit the transformative potential of expanded financial access.

Financial literacy is not a peripheral concern but a central pillar of agricultural development strategy. The evidence presented in this study demonstrates that income transfers and access to financial services, while necessary conditions for farmer well-being, are insufficient on their own to produce lasting improvements in financial behaviour and economic outcomes. The missing link is financial capability, the knowledge, skills, and confidence to make effective use of available financial tools and opportunities.

PM-KISAN represents a significant and laudable government effort to improve farmer income security. Its reach is impressive, and its contribution to reducing consumption vulnerability is real. However, the program's potential would be substantially amplified if accompanied by systematic financial education. The correlation data in this study shows that PM-KISAN participation has only a weak relationship with financial literacy, suggesting that the opportunity to use scheme implementation as a platform for financial education has not yet been seized.

Education remains the foundational variable in this story. The persistent gap in financial literacy between more-educated and less-educated farmers reflects decades of underinvestment in rural education, particularly for marginalized communities and women. Addressing this gap requires both short-term financial literacy interventions and long-term investments in the quality and reach of formal education in rural areas.

Looking forward, the policy agenda should centre on integration and coordination: integrating financial literacy into existing government programs, coordinating between agricultural and financial sector ministries, and building partnerships between government, financial institutions, civil society, and technology providers. A new generation of context-appropriate, technology-enabled financial literacy programs, delivered through trusted community intermediaries and adapted to the linguistic and cognitive needs of rural farmers, holds significant promise.

Ultimately, empowering India's farmers with financial knowledge is not only an agricultural development imperative but also a matter of social justice. When small and marginal farmers can access credit on fair terms, protect their harvests through insurance, save for their children's education, and plan for retirement, they are better equipped not only to survive the

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uncertainties of farming but to build lasting prosperity for themselves and their communities. This study hopes to contribute, in a modest way, to the policy conversations and research efforts that will make this vision a reality.

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